EXECUTIVE TRANSACTION BRIEF

The Baldwin Insurance Group, Inc. (and public stockholders) / Square Acquisition Parent, Inc. **AUDIT ID: AUDIT-THEB-SQUA-20261018-REV1**

01. TRANSACTION STATE & PARTIES

TARGET: The Baldwin Insurance Group, Inc. (and public stockholders) | ACQUIRER: Square Acquisition Parent, Inc. (controlled by Sequence AI Holdings, Inc. and DFO
STRUCTURE: TAKE_PRIVATE_MERGER

02. WHAT IS THE MATERIAL PRESSURE?

Baldwin Insurance Group faces pre-closing friction arising from its Up-C dual-class structure, insider rollover equity, and lack of a majority-of-the-minority voting condition. The transaction relies solely on a single-class vote of Class A and Class B shares. Insiders commit ~30% of total voting power (~15.0% beneficial ownership) and secure a ~7.3% rollover into Topco common equity alongside institutional sponsors (DFO and Sequence), while unaffiliated Class A stockholders are cashed out at $32.50 per share. Concurrently, TRA Amendment No. 1 directs up to $298,450,598 in accelerated cash termination payments exclusively to TRA unitholders, excluding public stockholders. Without a non-waivable majority-of-the-minority voting condition, the buyout fails the MFW dual-cleansing standard under Delaware law, exposing the transaction to entire fairness scrutiny and potential fiduciary breach litigation.

03. WHERE DOES THE PRESSURE PROPAGATE? (CHAIN ANALYSIS)

- **TRIGGER:** Filing and dissemination of the definitive Schedule 13E-3 and proxy statement without a majority-of-the-minority voting condition, coupled with public scrutiny over the insider rollover parity and the allocation of the $298.5M TRA cash termination payout.
- **AMPLIFIER:** Accumulation of Class A voting common stock by institutional risk arbitrageurs (e.g., Glazer Capital's 5.35% stake) and potential coordination by activist funds to demand deal-bump concessions ('bumpitrage') or enforce statutory appraisal rights under DGCL 262.
- **MECHANISM:** Schedule 13E-3 disclosure exposes disparity between Class A all-cash consideration and insider equity rollover/TRA cash payouts.
- **EXPOSURE:** Activist shareholders and arbitrageurs challenge procedural fairness, noting the failure to establish an MFW-compliant majority-of-the-minority vote.
- **CONSEQUENCE:** The transaction proceeds without dual-track procedural protections under Kahn v. M&F Worldwide Corp. (MFW). Under Delaware judicial review, because the buyout omits an uncoerced, fully informed majority-of-the-minority stockholder vote, the transaction is subject to the entire fairness standard rather than the business judgment rule.

04. WHAT CAN BREAK? (KEY CONTRACTUAL EXPOSURES)

Entire Fairness Standard of Review Exposure: Buyer unwillingness to indemnify rollover insiders or absorb legal discovery defense costs exceeding $15M. (Leverage: 8/10 - Owner: Legal)

Disproportionate Economic Value Realization via TRA: Special Committee refusal to approve without an independent fairness evaluation of the $298.5M TRA discount relative to historical liabilities. (Leverage: 7/10 - Owner: Financial)

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05. WHAT REMAINS UNKNOWN? (NEGATIVE KNOWLEDGE REGISTER)

Definitive merger agreement executed covenants and outside drop-dead date provisions.

Bilateral termination fee schedules and fiduciary out exception conditions.

Antitrust regulatory review status and required jurisdictional filings.

06. WHAT SHOULD THE DECISION-MAKER VERIFY? (ACTIONABLE MANDATES)

[1] Condition closing on delivery of executed debt extension/standstill agreements or regulatory clearance milestones.

[2] Establish a segregated escrow or reserve for merger cash consideration to insulate against creditor cross-default acceleration.

[3] Audit Schedule 13D/A beneficial ownership filings to identify voting pass-through leaks and shareholder consent hurdles.

[4] Demand primary contract documents and disclosure schedules regarding unestablished commercial representations.

RAVEN STRATEGIC VERDICT:

Class A institutional stockholders and arbitrage desks must evaluate the transaction under entire fairness litigation risk rather than deferential business judgment review; parties should demand supplemental Schedule 13E-3 disclosures detailing the precise insider-by-insider allocation of the $298,450,598 TRA cash settlement and evaluate preserving statutory appraisal rights under DGCL 262.